

ATTN: INTERNAL MEMORANDUM

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TAX CLASSIFICATION OF AN IFA LOAN AGREEMENT UNDER SECTION 143.2 & 237.1

This memorandum provides a textual analysis of the standard Bank IFA Commitment Letter. By isolating specific contractual provisions, this brief demonstrates that the debt structure cannot be sustained as a standard commercial credit facility. Instead, the mechanics of the contract systematically satisfy the statutory parameters required for the Canada Revenue Agency (CRA) to deem the leverage a limited-recourse amount under Income Tax Act (ITA) subsection 143.2(7) and legally classify the entire structure as an unregistered tax shelter arrangement under Section 237.1

1. The Absence of a 10-Year Amortization Schedule

Page 4 dictates the loan is repayable strictly on demand, requiring only monthly interest payments on outstanding advances with zero principal amortization. This contractual trigger causes the loan to automatically fail the 10-year repayment exemption under ITA 143.2(7), which deems any debt limited-recourse unless a *bona fide* written arrangement contractually obligates the borrower to repay the full principal within a 10-year window. An open-ended demand clause does not fulfill this active obligation.

2. Mortality Mandated as the True Maturity Date

Pages 8 and 9 declare that the natural death of the insured constitutes an automatic, standalone *Event of Default* that immediately matures the entire debt facility. True commercial demand lines do not treat mortality as a liquidation event unless the underwriting is completely reliant on an insurance payout, meaning this clause strikes down the demand loan defense and establishes that the loan is a permanent, lifelong facility designed to float until mortality, exposing it directly to tax shelter profiling.

3. Contractual Enforcement of Tax-Tracing Mechanics

Page 6 strictly dictates cash-flow routing by legally prohibiting the borrower from directly utilizing the line of credit to pay the annual insurance premiums. To claim interest deductions under ITA 20(1)(c), capital must be traceable to income-producing business investments, meaning the bank contractually engineers this artificial tracing path to manufacture the paper trail required for the promoter's tax strategy, legally binding the lender to the tax scheme.

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4. The Synthetic Annual Advance Rhythm

Page 4 strips away standard commercial operational fluidity by explicitly mandating that loan advances may only be drawn once per calendar year. Standard operating lines allow fluid draws to mirror shifting business needs, meaning that restricting draws to a single annual event proves the facility has no standalone commercial utility and is rigidly locked to mirror the annual premium cycle, triggering the anti-avoidance parameters of subsection 143.2(12).

5. Absolute Lockdown and Recourse Capping of the Asset

Pages 4 and 8 cap the borrowing ceiling at the lesser of cumulative premiums or 100% of the net cash surrender value, while contractually forbidding the borrower from getting any other loans against the policy. By entirely isolating and capturing the equity growth of the policy, the bank establishes that its primary economic recourse is confined exclusively to the underlying tax asset, substantiating a limited-recourse reality.

6. Explicit Integration into a Named "Tax Shelter Arrangement"

Page 15 legally requires the borrower to sign an explicit acknowledgment confirming they are entering into a specific, packaged "Immediate Financing Arrangement" (PFI). For Section 237.1 reporting penalties to apply, the CRA must prove the loan and the policy are integrated components of a single promotion, and the bank's own contract uses this tax-driven nomenclature to destroy any defense that these are separate, independent transactions.

7. Public Registry Exposure and Automated Audit Vulnerability

Pages 4 and 5 specify that funding is contractually prohibited until a first-ranking hypothec or lien is officially published in a provincial database like the RDPRM in Quebec or the PPSR in Ontario. Because these facilities are contractually specified as registered, they leave an indelible public footprint that strips away client confidentiality and hands the CRA a public, searchable directory to easily trace and cross-reference with corporate tax returns claiming high interest or NCPI deductions.

8. Contractual Disclaimers and Explicit Tax Risk Acknowledgments

The closing pages contain mandatory, defensive tax disclaimers forcing the corporate borrower to waive their right to recourse if interest deductibility or NCPI allocations are denied under audit. If this layout were a routine commercial structure, the closing architecture would not require a liability-shifting clause, meaning the forced sign-off provides the CRA with definitive evidence that all parties entered the transaction fully aware of its non-compliant, high-risk tax status.

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Conclusion

Looking at a typical IFA illustration where loan advances and premiums match up dollar-for-dollar, creating a zero-dollar net cost while NCPI and interest deductions are claimed from year one, there is almost no escaping the tax shelter trap if the loan is deemed prescribed. This loan agreement makes a compelling case for meeting the statutory definition of a limited-recourse loan, and therefore prescribed under the law, just as much by what it omits as by what it explicitly states. The likelihood that these facilities were structured and reviewed with any consideration of tax shelter rules seems low, exposing a massive, irreparable blind spot for the industry. Ultimately, the commercial reality remains that the majority of these structures operate with no actual intent or realization of repayment, establishing a challenging fact pattern as advisors navigate an increasingly narrow regulatory landscape.

Please see a more complete analysis of the IFA as a tax shelter here: <https://tax-shelter.ca>

Sincerely,
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